ORANGE COUNTY, CALIFORNIA · A PROBLEM BRIEF

The Affordable Home *Equation*

Three problems that decide whether a working family in Orange County ever gets the keys: finding the land, clearing the approvals, and closing the funding gap.

EVERY AFFORDABLE HOME HAS TO BALANCE THIS

What the family can afford to pay + public subsidies + fundraising − the cost to create the home = $0

1 · Find it: land

2 · Clear it: time

3 · Fund it: money

Compiled November 2026 from public sources, statute, state datasets and practitioner feedback. Numbers labeled ASSUMPTION are illustrative.

THE SETTING

Why one home is so hard to make affordable

In Orange County the median home costs about $1.47 million, and only about 15% of households can afford one. Teachers, nurses, firefighters and the kids who grew up here leave, or commute an hour or more each way.

A small set of groups try to change that one home at a time: nonprofits that build affordable **ownership** homes, community land trusts, faith communities with land, employers housing their own workforce, and city housing offices. Their problem fits in one line. The family's share is fixed by income: housing costs should stay around 30 to 35% of what they earn, so the price cannot rise to cover cost. Everything else has to close the difference, and in Orange County the cost side usually wins by six figures per home.

$1.47M	15%	~4 yrs	34
Median Orange County home (C.A.R., Q3 2026)	Households that can afford it	From finding land to handing over keys	Cities, each with its own forms, fees and zoning

One home's bill ASSUMPTION · ILLUSTRATIVE

A made-up but realistic single home. Every dollar here is an assumption, useful for reasoning, never as a real project.

COST TO CREATE	$
Land and building FIND IT	360,000
Waiting: interest, taxes, insurance, management CLEAR IT	85,000
Construction and repairs	40,000
Fees, design, legal, sales	50,000
Total	**535,000**

PAID BY	$
Family's price, fixed by income	285,000
Public subsidies FUND IT	100,000
Rent earned while waiting	55,000
Fundraising: the gap FUND IT	95,000
Total	**535,000**

TIME IS A MULTIPLIER

In this example, a 10-month slip made the fundraising need grow about seven times, because every month of waiting adds interest, taxes, insurance and management while the family's price stays fixed. (Assumption.)

The three problems map onto that bill. **Find it** attacks the largest line, land. **Clear it** attacks time, the line that multiplies everything else. **Fund it** closes whatever is left. This is about affordable **ownership**, not rental, so the federal Low-Income Housing Tax Credit, the main rental tool, does not apply.

Underneath all three is the question of scale. Today's solutions are small, one-off projects. Is scale attainable?

AT A GLANCE

The three problems, in two paragraphs each

1 · FIND IT: LAND

Where can the next affordable home go?

Nonprofits mostly find sites by luck: a city calls about surplus land, or a congregation offers its parking lot. Meanwhile California has passed a wave of laws that open land that used to be off-limits: lot splits on single-family lots (SB 9), small-lot subdivisions of up to 10 homes without a hearing (SB 684 and SB 1123), housing on commercial corridors (AB 2011), housing on faith and nonprofit-college land (SB 4), and condo conversions. The laws are public. The parcel data is public. Nobody has connected the two in a way a small nonprofit with no mapping team can use.

And a legal site is not always a usable one. Each law stacks site tests, such as historic districts, fire, fault and flood zones, and wetlands, so one honest answer for one parcel takes several map layers. Teams still need to know who owns it and whether they would sell, whether it can be built on (slope, contamination, water and sewer), and whether a nonprofit can move before a market-rate buyer. The key ownership fact for SB 4, "is this owned by a religious institution?", exists in no free dataset at all.

2 · CLEAR IT: TIME

How do we turn four years into two?

Time is cost. Builders who have done it describe a path that cuts the timeline to about two years: start on land already zoned correctly, get a **ministerial** approval (meet the written rules and the city must say yes, with no hearing and no discretion), and use state-approved plans. The fast path exists on paper. The obstacle is finding it: each of Orange County's 34 cities has its own forms, fees and checklists, city forms sometimes misread state law, and the state housing department regularly writes to cities to say they got it wrong.

Approval is only one delay. Projects also wait on plan-check corrections, utility and fire sign-offs, water and sewer capacity, funding rounds that open once a year, condo map paperwork and tenant relocation, and every month costs money. Even the law itself moves: ADU law was renumbered in 2024, yet live city checklists still cite the old sections. There is no open permit dataset for Orange County, so "how long does it really take here?" is mostly unanswered.

3 · FUND IT: MONEY

Does it pencil, and who closes the gap?

A project "pencils" when the numbers work, and affordable ownership almost never pencils on its own. State law (Health and Safety Code § 50052.5) caps what a family can be charged based on their income category, so the price cannot rise to meet cost. The gap gets filled from many sources: city, state and federal programs, down-payment assistance, lenders, employers, donors and earned revenue. Today that stack is assembled by hand, one project at a time, in spreadsheets.

The inputs keep moving underneath it. Income limits are revised mid-year and differ by program. The mortgage rate changes weekly, and because the family's price is capped, every rate move changes the gap directly. Program rules live in PDFs and statute, some programs are lotteries or already out of money, and no free pro forma template for affordable ownership could be found. Donors are told "every dollar helps" without seeing what a gift actually closes.

PROBLEM 1 · LAND

Find it

Where can the next affordable home go?

$360k
Land: the biggest line on the bill

~703,000
Parcels in the county layer

2,126
Housing-element sites in OC

The problem

California has opened land through a series of laws, but they arrive as statute and fact sheets, while the land arrives as millions of map polygons with numeric codes. Connecting "does this law apply?" to "this parcel" requires stacking several layers (zoning, hazards, ownership, existing use) and reading statute carefully, because the one-line summary of a law is never the rule. Small nonprofits do not have GIS teams, so sites still come from phone calls and luck, and a market-rate buyer often moves first.

THE LAWS THAT OPEN LAND

LAW	WHAT IT OPENS	CATCHES
SB 9 Gov 65852.21, 66411.7	Lot splits and duplexes on single-family lots, ministerial	Excludes historic districts; no tenant occupancy in prior 3 years; cities may require up to 1 parking space per unit and 4-ft setbacks
SB 684 / SB 1123 Gov 66499.41, 65913.4.5	Subdivide into 10 or fewer parcels, no hearing	Amended by SB 1123; one related section has four versions online, so confirm the current text
AB 2011 Gov 65912.100–.140	Housing on commercial corridors	State guidelines were still marked Draft
SB 4 Gov 65913.16	By-right housing on land owned by a religious institution or independent college as of Jan 1, 2024. 100% lower income (up to 20% moderate, 5% staff)	Excludes very high fire, fault, flood, wetlands, farmland, sites near certain industrial uses; 75% of the perimeter must adjoin urban uses. Effective July 2024 to Jan 2036
Surplus Land Act Gov 54220–54234	Public agencies must offer surplus land for affordable housing first	Notices are self-reported and not verified by the state
Condo conversion Gov 66427.1	Turning existing apartments into ownership condos	Local rules dominate; no clean state summary

Who is stuck

A congregation's facilities chair

"We keep hearing churches can build housing now. Can we? Where would we even start?"

Needs: which pathway might apply (likely SB 4), what to check, and which facts stay unknown until confirmed.

A one-person acquisitions team

"Give me ten sites in one city I should call about this month, and why each one."

Needs: a short ranked list with the law that opens each site, the data behind it, and what is still unchecked.

City housing staff

"Half the sites on these lists turn out to be on a slope or in a fire zone."

Needs: fire, flood, slope and contamination flagged next to each site, with sources and dates.

Where it breaks today

1. **Yes, no, or unknown, with a reason.**
   Each law has stacked site tests. One honest answer for one parcel needs several layers, and should show which test passed, which failed, and which could not be checked.
2. **The missing ownership layer.**
   SB 4 hinges on who owns the land, but no free layer says "religious institution" or "independent college". Worship-site maps and the IRS exempt-organizations file are leads, not facts. The county assessor roll, which has owners, is not a free download.
3. **Messy surplus-land notices.**
   About 3,100 statewide rows; many are marked Archive, and parcel size is sometimes text like "9,005 SF". They need cleaning, joining to zoning, and a "who to call".
4. **Stale sites.**
   Housing-element site lists are submitted when a plan is adopted. A parcel may have since sold or been built on. Comparing with 754,811 building footprints or existing land use would catch it.
5. **The city rules layer.**
   State law lets cities apply objective standards like parking and setbacks. "Does state law allow it here?" is only half the answer without the city's own rules.

The data reality

EXISTS, FREE

- County parcel layer: ~703,000 polygons with parcel number, address, year built. **No owner, no lot size.** Max 1,000 records per request, State Plane coordinates
- Regional zoning layer for all 34 cities, but zoning codes are numbers, not words
- Housing-element sites: 189,627 regional, 2,126 in Orange County, with capacity by income level
- Building footprints (754,811) with height
- Hazards: FEMA and county flood, CAL FIRE severity, liquefaction, CalEnviroScreen, transit areas, opportunity maps

MISSING OR HARD

- Parcel owner and tax-exempt status (assessor roll is in-person or written request only)
- Faith or college ownership for SB 4: proxies only
- School-district surplus inventory; Caltrans excess land in machine-readable form
- Field names differ city to city; paid alternatives exist (Regrid, Zoneomics)

QUESTIONS WORTH SITTING WITH

- If the laws and the data are both public, why does finding a site still come down to luck?
- How do you show "unknown" so it reads as a next step, not a failure?

PROBLEM 2 · TIME

Clear it

How do we turn four years into two?

~4 → 2 yrs	$85k	34
If the fast path became normal	Waiting costs on one home	Cities, 34 rulebooks

The problem

Every month a project waits, it pays interest, taxes, insurance and management while the family's price stays fixed. The fast path is real: zoned land, ministerial approval and pre-approved plans. But it is hard to find and harder to follow. Each city publishes its own forms and fees, sometimes citing law that has been renumbered or misreading it, and the state's enforcement letters that correct cities are buried in a dashboard. Beyond approval, projects stall on plan check, utilities, fire, once-a-year funding rounds, condo maps and tenant relocation.

THE USUAL FOUR YEARS ASSUMPTION

PHASE	TYPICAL
Rezoning	~1 year
Entitlements	~1 year
Plans	6–12 months
Build	~1 year

THE FAST PATH

- Start on land already zoned correctly
- **Ministerial** approval: meet the written rules and the city must say yes, no hearing
- Use state-approved plans

OTHER DELAYS

- Plan-check corrections and resubmittals
- Utility and fire sign-offs; water and sewer capacity
- Funding rounds that open once a year
- Condo map paperwork; relocating tenants

THE LAWS THAT SET THE CLOCKS

LAW	WHAT IT DOES
ADU law Gov 66310–66342 (was 65852.2)	Ministerial, 60-day clock; deemed approved if the city misses it. Renumbered in 2024, with more moves in 2025. Old numbers are still in live city documents
SB 9	State guidance describes a 60-day decision and 30-day completeness check; the state can enforce directly since 2024
SB 35 / SB 423 Gov 65913.4	Streamlined ministerial multifamily approval; status varies by city
AB 2234 Gov 65913.3	Post-entitlement permit timelines; cities must post checklists and sample approved applications online. No one has audited every Orange County city
AB 2097	No minimum parking near major transit
Housing Accountability Act Gov 65589.5	Limits the grounds for denying or shrinking a compliant project

Permit Streamlining / Mitigation Fee Acts	Decision deadlines; impact fees must be justified

Who is stuck

A first-time ADU applicant

"Which forms do I need, in what order, and how long will each step take?"

Needs: the city's own checklist and fees, linked and dated, with the state rule shown wherever the city form disagrees.

A nonprofit project manager

"Which city gets me to a ministerial approval faster?"

Needs: a side-by-side of steps, documents and published timelines, with gaps marked unknown rather than guessed.

A city permit tech

"I want to tell applicants the right answer the first time, even when our form is out of date."

Needs: answers that cite state law and any enforcement letter, and flag stale forms.

Where it breaks today

1. **Picking the path for one address.**
   An ADU, SB 9 two-unit, SB 9 lot split, a small subdivision map and streamlined multifamily each have their own clock and tests. Few people can see which fit, and what each costs in time.
2. **Old law in live documents.**
   City checklists and even state letters still cite pre-2024 ADU section numbers. A document can be wrong without anyone noticing.
3. **Unaudited checklists.**
   Cities must post checklists and sample applications. Nobody has compared all 34 cities' checklists and fees with what state law allows.
4. **Unmeasured timelines.**
   There is no open permit dataset in Orange County. Cities do report applications, entitlements, permits and completions to the state every year. That is the closest thing to "how long does it really take here?"
5. **Enforcement letters no one can find.**
   The state's letters telling cities they misapplied the law sit behind an embedded dashboard, invisible to the permit tech or applicant who needs them.

A REAL EXAMPLE

In February 2023 Huntington Beach voted to stop accepting ADU and SB 9 applications. The state sued on March 8, and the council resumed processing on March 21. The state's own letter still cited the old ADU section number.

QUESTIONS WORTH SITTING WITH

- The fast path exists on paper. Why is it rare in practice, and what would make it the default?
- Who benefits when a city form is out of date, and who pays for it?
- What would an honest "how long will this take?" look like when the data is annual and incomplete?
- Could the same tool serve the applicant and the permit counter, or do they need different truths?

PROBLEM 3 · MONEY

Fund it

Does it pencil, and who closes the gap?

30–35%
Of income: the most a family should pay

$95k
Illustrative gap per home

Weekly
How often the rate moves

The problem

The family's price is not a market price; it is set by law. California's Health and Safety Code § 50052.5 caps affordable housing cost for owners by income category, using a percentage of the area median income adjusted for household size, and a household's size for a unit is the number of bedrooms plus one. Turn that monthly cap into a purchase price with a mortgage rate, property tax, insurance and HOA, and you have what the family can pay. Everything above it has to come from subsidies, programs, lenders, employers, donors or earned revenue, and today that stack is assembled by hand for each project.

THE CORE ARITHMETIC

Monthly cap = income share × median-income share × area median income (adjusted for household size) ÷ 12. Purchase price follows from the cap, the 30-year mortgage rate, tax, insurance and HOA. Because the price is capped, **a rate increase lowers what the family can pay and raises the gap dollar for dollar**. At roughly 7%, each quarter-point move shifts the gap on one home by several thousand dollars. (Arithmetic, not a sourced claim.)

Who is stuck

A nonprofit finance lead

"I'm $95k short per home. Which sources could I still stack, and when would the money arrive?"

Needs: candidate sources with eligibility, deadlines and timing, funds marked unconfirmed until checked, gap recalculated.

The same lead, a month later

"Rates went up. How much bigger is the gap now?"

Needs: the family price recomputed from a dated income table and a published rate, the change shown in dollars.

A local donor

"If I give $25,000, what does that actually pay for?"

Needs: the gift mapped to lines of one home's bill, every number sourced or labeled.

Also stuck: development directors assembling long applications, city housing analysts, and buyer families who cannot tell which of seven programs is open, a lottery, or closed.

Where it breaks today

1. **Stale income tables.**
   The state revised its 2026 income limits on June 23, replacing the May 29 version; the State HOME table is a separate document. A model built in May was already wrong by July, and nobody is told.
2. **Rate sensitivity nobody tracks.**
   The 30-year rate moved from 7.40% to 7.18% in a month. Each move silently changes every deal's gap.

3 **Programs that are not what they seem.**
No single table lists program, maximum help, income cap and term. Some are lotteries; some have run out of money; some city pages are unreachable or point to unrelated documents.

4 **No free pro forma.**
No free affordable-ownership pro forma template could be confirmed. Every team rebuilds one.

5 **Donors without a line of sight.**
"Every dollar helps" says nothing about whether a home gets built, or which cost a gift covers.

6 **Donated goods as revenue.**
Resale can fund homes, but pricing items and giving donors a defensible value is slow, and sold-price data is mostly restricted.

THE FUNDING LANDSCAPE

SOURCE	WHAT IT IS	STATUS TO WATCH
CalHFA MyHome	Down-payment help, up to 3.5% (FHA) or 3% (conventional)	Open
CalHFA Dream For All	Shared appreciation, up to 20% or $150,000	Voucher lottery; funds not confirmed
FHLBank SF WISH	Down-payment grants through member banks	Open while funds last
FHLBank SF AHP	Competitive grants for projects	2026 round already awarded; next is 2027
CalHome, HOME, CDBG	State and federal homeownership funding through local agencies	Round-based
City programs	Santa Ana, Garden Grove first-time buyer loans, others	Terms often unreadable or unconfirmed
Lenders, employers, donors	Loans, workforce housing, philanthropy	Employer-assisted: no verified source

EASY MISTAKES

The ownership cost rule (§ 50052.5) is not the rental rule (§ 50053); mixing them gives the wrong cap. The statute has different rules for assistance before and after 1991. LIHTC is rental only. Property tax is about 1% plus local assessments, and no Orange County insurance premium figure is published.

FIELD EVIDENCE

What real reviewers catch

A 2026 Bank of America Affordable Housing Challenge proposal, Lake & Mariposa, was 61 affordable rental homes in Altadena for families displaced by the Eaton Fire. It was reviewed by Bank of America finance professionals. It is a rental project in Los Angeles County, not Orange County ownership, but its lessons travel.

$800k
Total development cost per unit

$105k
Per unit in site work alone: off-site, on-site, demolition

6
Funding sources in the final capital stack

What reviewers flagged

- Executive summary numbers that did not add up
- Construction costs too low: typically about $500k per unit
- Soft costs too low: typically 5–10% of total
- No asbestos or lead remediation for demolition
- County money counted in construction; it usually funds at permanent
- A philanthropic grant counted without confirming the fund's balance
- Entitlements and permits about 6 months each, so add a year
- Large projects may trigger union labor at about 15% above prevailing wage
- Developer fee too low for the deal size

Inconsistencies inside one application

- Unit mix differs between two sections
- Three stories in one place, "two four-story buildings" in another
- Parking: 75 required in the text, 60 in the model
- Debt coverage: 1.15x in the proposal, 1.27x in the model
- County loan: $9.33M in the proposal, $10M in the model
- A credit claimed for undergrounded power lines whose funding source had been dropped

THE CHICKEN-AND-EGG PROBLEM

Each funder wants to see the others committed first. Applying for one source before another's award is in is hard, and many rounds open once a year, so one error can cost a year.

Rules of thumb that held up

RULE	WHERE IT COMES FROM
Sources must equal uses, at construction and at permanent	Competition model
Debt service coverage on must-pay debt at least 1.15x	Competition model
Hard cost contingency at least 5% (new) or 10% (rehab)	Competition model
Construction loan term at most 36 months; senior debt at most 80% loan-to-value	Competition model
Operating reserves are usually one-time, not annual	Reviewer feedback
Ask for the full county maximum; it is not penalized	Reviewer feedback

Practitioner judgment, not law. Use the categories and ranges, not the dollar values, for Orange County ownership work.

ACROSS ALL THREE

Patterns that repeat

→ **Public is not usable.**
Laws, parcels, income limits and rates are all public. The work is in joining them, keeping them current, and saying what they cannot show.

→ **Everything has a date.**
Income tables are revised mid-year, rates weekly, statutes get renumbered, program funds run out. An answer without a date is a liability.

→ **"Unknown" is an answer.**
Ownership, hazards, timelines and program funds are often unconfirmable. Honest tools say what is unknown and what would resolve it.

→ **Time multiplies cost.**
Delay in Clear it inflates the gap in Fund it. Slow land deals in Find it lose to faster market buyers.

→ **Every number needs a source or a label.**
Made-up numbers presented as real are how bad deals get funded and good ones get rejected.

→ **Eligibility is not a pipeline.**
Researchers report some of California's largest cities received only a handful of SB 9 applications. Legal parcels do not build themselves. Scale is the open question: what would make the hundredth home as easy as the second?

Glossary

Pencils. The numbers work; sources cover uses.

Ministerial approval. If a project meets written, objective rules, the city must approve it: no hearing, no discretion.

AMI. Area median income, set by the state per county and household size; income categories (extremely low, very low, lower, moderate) are percentages of it.

Pro forma. The deal's financial model: costs (uses), funding (sources), and the gap.

Capital stack. The layered set of sources that fund a project.

Housing element. Each city's state-required housing plan, including a list of sites that could take new homes.

Surplus land. Public land an agency no longer needs; it must be offered for affordable housing first.

ADU / JADU. Accessory dwelling unit: a backyard or attached unit. Junior ADU is within the existing home.

DSCR. Debt service coverage ratio: income available divided by required loan payments.

Community land trust. A nonprofit that keeps land permanently affordable, selling the home but not the land.

Key sources

Cal. Health & Safety Code § 50052.5 · leginfo.legislature.ca.gov

HCD 2026 State Income Limits (revised June 23, 2026) · hcd.ca.gov/sites/default/files/docs/grants-and-funding/income-limits-2026.pdf

Freddie Mac Primary Mortgage Market Survey, history CSV · freddiemac.com/pmms/docs/PMMS_history.csv

C.A.R. Housing Affordability Index, Q3 2026 · car.org/marketdata/data/haitraditional

HCD SB 9 fact sheet; SB 4 faith and higher-ed fact sheet; ADU Handbook (March 2026); Surplus Land guidelines · hcd.ca.gov

OC GIS services · ocgis.com/arcpub/rest/services · SCAG land data · maps.scag.ca.gov/scaggis/rest/services/LDX

Surplus Land Notices of Availability · data.ca.gov · HCD Annual Progress Reports · data.ca.gov

CalHFA programs · calhfa.ca.gov · FHLBank San Francisco WISH and AHP · fhlbsf.com · Orange County Housing Finance Trust · ochft.org

Bank of America Affordable Housing Challenge 2026: Lake & Mariposa proposal, financial model and reviewer feedback (UC Irvine team)

Sources were checked November 6–7, 2026. Rules summarized here are orientation, not legal advice. Read the statute or fact sheet before relying on any rule.